26STCV10875 26STCV10875

County: los-angeles

Division: Civil Law and Motion

Department: 511

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Case Number: 26STCV10875 Hearing Date: June 24, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: June

24, 2026

CASE NAME: A

Ram Yoon v. Mercedes-Benz USA, LLC, et al.

CASE NO.: 26STCV10875

MOTION

TO COMPEL ARBITRATION AND STAY PROCEEDINGS

MOVING PARTY: Defendant

Mercedes-Benz USA, LLC

RESPONDING PARTY(S): Plaintiff A Ram Yoon

REQUESTED RELIEF:

1. An

order compelling Plaintiff to arbitrate this action and for a stay of

proceedings pending arbitration.

TENTATIVE RULING:

1. Motion

to compel arbitration is DENIED.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On April 2, 2026, Plaintiff A Ram Yoon (Plaintiff) filed a Song-Beverly complaint against Defendants Mercedes-Benz USA, LLC (MB USA) and Rusnak Corporation dba Mercedes-Benz of Arcadia (Rusnak) (sometimes collectively Defendants) with two causes of action for: (1) violation of Civ. Code § 1793.2(d); and (2) breach of the implied warranty of merchantability.

According to the complaint, Plaintiff leased a new 2025 Mercedes-Benz GLC350 and received an express warranty promising repairs if defects arose. During the warranty period, the vehicle developed defects—including trouble starting and a flickering MBUX screen—and required at least 39 days of repair time over two attempts, substantially impairing its use, value, or safety.

Despite these defects and multiple repair opportunities, defendants failed to fix the vehicle or provide a replacement or restitution as required under Civil Code §1793.2(d), resulting in breaches of both the express warranty and the implied warranty of merchantability.

On May 8, 2026, MB USA filed the instant motion to compel arbitration. On June 10, 2026, Plaintiff filed an opposition. On June 16, 2026, MB USA filed a reply.

LEGAL STANDARD:

A written provision in any contract¿evidencing¿a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract shall be valid, irrevocable, and¿ enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.¿ (9 U.S.C. § 2.)¿ The Federal Arbitration Act (FAA) requires courts to direct parties to¿proceed¿to arbitration on issues covered by an arbitration agreement upon a finding that the making of the arbitration agreement is not in¿issue.¿ (9 U.S.C. § 4;¿Chiron Corp. v. Ortho Diagnostic Sys.¿(9th Cir. 2000) 207 F.3d 1126, 1130.)¿ “The court’s role under the [FAA] is therefore limited to determining (1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute at issue.”¿ (Chiron Corp., supra,¿207 F.3d¿at p.¿1130.)¿ The FAA reflects “both a ‘liberal federal policy favoring arbitration,’ [citation], and the ‘fundamental principle that arbitration is a matter of contract,’ [citation].”¿ (AT&T

Mobility LLC v. Concepcion¿(2011) 563 U.S. 333, 339.)¿¿¿

¿

“‘ “The party¿seeking¿to compel arbitration bears the burden

of proving the existence of an arbitration agreement, while the party opposing

the petition bears the burden of¿establishing¿a defense to the agreement’s

enforcement.” ’”¿ (Beco v. Fast Auto

Loans¿(2022) 86 Cal.App.5th 292, 302.)¿ The burden of production as to¿this

finding shifts¿in a three-step process.¿ (Gamboa

v. Northeast Community Clinic¿(2021) 72 Cal.App.5th 158, 165.)¿ First, the

moving party bears the burden of producing prima facie evidence of a written

agreement to arbitrate, which can be met by attaching a copy of the arbitration

agreement purporting to bear the opponent’s signature. (Ibid.)¿ If the moving party meets this burden, the opposing party

bears, in the second step, the burden of producing evidence to challenge its

authenticity.¿ (Ibid.)¿ If the

opposing party produces¿evidence sufficient¿to meet this burden, the¿final

step¿requires the moving party to¿establish, with admissible evidence, a valid

arbitration agreement between the parties.¿ (Ibid.)¿¿¿

ANALYSIS:

MB USA contends the court should compel arbitration because the parties agreed to arbitration when Plaintiff signed the Lease Agreement for the Vehicle.

Plaintiff argues that MB USA lacks standing to bring this motion and, even if they did, the arbitration agreement does not cover the subject statutory dispute.

MB USA replies that Plaintiff's opposition misses the mark since MB USA is expressly named as a third-party beneficiary and they have otherwise proven an arbitration agreement exists.

i.

Existence

of Arbitration Agreement

The burden of production as to¿this finding shifts¿in a three-step process. (Gamboa v. Northeast Community Clinic¿(2021) 72 Cal.App.5th 158, 165.) First, the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate, which can be met by attaching a copy of the arbitration agreement purporting to bear the opponent's signature or by setting forth the agreement's provisions. (Id.) If the moving party meets this burden, the opposing party bears, in the second step, the burden of producing evidence to challenge its authenticity. (Ibid.) If the opposing party produces evidence sufficient to meet this burden, the third and¿final step¿requires the moving party to¿establish, with admissible evidence, a valid arbitration agreement between the parties. (Ibid.)

Here, MB USA met their initial burden that an arbitration agreement exists. First, MB USA has¿submitted¿evidence showing that, on May 31, 2025, Plaintiff¿electronically signed a Lease Agreement with MB USA. (Chan Decl., ¶ 2, Exhibit 1 [Lease Agreement or Lease].) The Lease Agreement includes an agreement to arbitrate (the Arbitration Agreement), which states,¿in relevant part, the following:

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third Party Beneficiary”), which arises out of or relates to . . . this lease, or any resulting transaction or relationship arising out of this lease . . . be resolved by a neutral, binding arbitration and not by a court action.

(Ibid.)

Again, the Lease is electronically signed by Plaintiff.[1]

(Ibid.)

Thus, MB USA has¿submitted¿evidence showing that

Plaintiff agreed to the terms of the Lease, including its Arbitration

Agreement.¿

Next, the court rejects Plaintiff’s standing argument. Here,

the Arbitration Agreement explicitly states that MB USA is a third

party beneficiary. (Ibid.) As

excerpted above, the Arbitration Agreement named MB USA as a third-party beneficiary

with rights to enforce the Arbitration Agreement pertaining to the

Lease of the Vehicle. (Bouton v. USAA

Casualty Ins. Co.¿(2008) 167 Cal.App.4th 412, 424.) The Arbitration Agreement

specifically states that they need not be a signatory to enforce it. (Chan

Decl., Exhibit 1.)

¿

The court therefore finds that MB USA has¿submitted¿evidence

sufficient to show that Plaintiff entered into an agreement to

arbitrate claims arising from the Lease Agreement.¿ But there is more.

ii.

Applicability

to Current Dispute

As set forth above, the Arbitration Agreement extends to "any dispute . . . which arises out of this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary . . . ." (Maurino Decl., Ex. 1.)

In Ford Motor Warranty Cases, our Supreme Court discussed an almost identical arbitration clause. ((2025) 17 Cal.5th 1122, 1133-1134.) There, the manufacturer argued that the pending lawsuits are intertwined with the sales contract because the warranties derive from the sales of goods. (Ibid.)

The Court disagreed and concluded that the warranty obligations are imposed by statute, not terms of the sales contract. (Ibid.)

Therefore, the arbitration agreement (even if the manufacturer could enforce it) did not apply to the Song-Beverly claims at issue.

So, too, here. In their complaint, Plaintiff only¿alleged causes of action under the Song-Beverly Act. (See generally, Compl.) These statutory claims are imposed by statute and not derived from the Lease. (Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1133-1134.) Therefore, there is no agreement to arbitrate this dispute.

Accordingly, the court DENIES MB USA's motion to compel arbitration.

CONCLUSION:

For

the foregoing reasons, the Court decides the pending motion as follows:

1. Motion

to compel arbitration is DENIED.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: June 24, 2026 ___________________________________ Upinder

S. Kalra

Judge

of the Superior Court

[1]

Plaintiff did not challenge the authenticity of the electronic signature.